Dear Partners,

As we move through the second half of the Fund's wind-down, we wanted to share where things stand as of June 30, 2026. In our April letter we laid out four milestones to close out Fund II: closing the three remaining portfolio investments, completing the final waterfall reconciliation, issuing a final LP distribution, and filing final tax returns ahead of formal dissolution. We are pleased to report that we remain on track across each of these and have hit several meaningful marks since our last update.

Distributions — Capital and Preferred Return Fully Paid

All investor accounts have now received their final capital and preferred return distributions. As of July 31, 2026, every LP has been made whole on their outstanding capital balance, and all accrued preferred return has been paid in full. Your Q2 capital account statement, reflecting a zero-remaining balance, has been uploaded to your portal.

To be clear, this does not represent the final distribution from the Fund. Three assets remain to be sold, and all distributions to date have flowed exclusively to LPs under the waterfall — no profits above the preferred return and no sponsor promote have been distributed. Proceeds from the remaining dispositions will flow through the waterfall accordingly, and we anticipate additional distributions to LPs as those sales close.

Tax Returns

We are actively working to complete the Fund's tax returns. Given the volume of dispositions over the past twelve months, our tax team is simultaneously working to minimize any tax exposure arising from the recent portfolio sales and the upcoming single-asset dispositions. We will notify you as soon as your final 2025 K-1 is available.

Remaining Assets

Three properties remain in the portfolio: Lamberton Lake, Royal Palm, and Everglades. We have used the spring and summer months to invest in curb appeal and deferred maintenance improvements at these communities, with the goal of positioning them for the strongest possible sale price.

We appreciate your partnership throughout this fund.

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